



National Insurance Act 1971

1971 CHAPTER 50

An Act to amend the provisions of the National Insurance Acts 1965 to 1970, the National Insurance (Industrial Injuries) Acts 1965 to 1969 and the Industrial Injuries and Diseases (Old Cases) Acts 1967 and 1969 as to contributions and benefits; to make provision for invalidity benefit for the chronic sick and for a retirement pension and age addition for certain persons over the age of eighty; to make new provision in relation to polygamous marriages for the purposes of any of the said Acts or of the Family Allowances Act 1965; and for purposes connected with those matters.

[14th July 1971]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

National insurance

1.—(1) In the Insurance Act for the provisions of Schedule 1 (weekly rate of contributions under that Act) there shall be substituted the provisions set out in Schedule 1 to this Act (being provisions revising the rates of contributions).

Revision of
contributions
under
Insurance
Act.

(2) There shall be paid out of money provided by Parliament any increase resulting from subsection (1) above in the sums so payable by way of Exchequer supplement under section 7 of the Insurance Act.

(3) In section 4(1)(c) of the Insurance Act (aggregate amount of graduated contributions) for the proportion “ $3\frac{1}{4}$ per

cent" (aggregate contribution payable in respect of any amount, up to £12, by which a person's weekly remuneration exceeds £18) there shall be substituted the proportion "4.35 per cent." and for the sum of £12 there shall be substituted the sum of £24.

(4) In section 10 of the Insurance Act (exception from liability for, and crediting of, contributions)—

- (a) in subsection (1)(a)(iii) (regulations may except persons whose annual income does not exceed £312 or such higher amount as may be prescribed) for the sum of £312 there shall be substituted the sum of £468; and
- (b) in subsection (2) (persons excepted under subsection (1)(a)(iii) to be credited with contributions only for the purposes of entitlement to unemployment benefit and sickness benefit) for the words "by virtue of the said paragraph (a)(iii)" there shall be substituted the words "by virtue only of sub-paragraph (iii) (and no other sub-paragraph) of the said paragraph (a)";

and the like substitution as is specified in paragraph (a) above shall be made in any regulations made under the said subsection (1)(a)(iii) which are in force at the passing of this Act.

(5) The contributions to be paid under the Insurance Act out of money provided by Parliament shall include, in addition to the Exchequer supplements,—

- (a) in respect of the financial year 1971-72, the sum of £135 million;
- (b) in respect of the financial year 1972-73, the sum of £135 million; and
- (c) in respect of each subsequent financial year the sum of £185 million;

and those contributions shall be paid in such manner and at such times as the Treasury may determine.

Revision of
benefits under
Insurance
Act.

2.—(1) For the provisions of Schedule 3 to the Insurance Act (rates of benefit) there shall be substituted the provisions set out in Schedule 2 to this Act (being provisions giving effect to increases in the rates of benefit and to the following provisions of this Act).

(2) For section 30(7) of the Insurance Act there shall be substituted—

"(7) Subject to any regulations under section 44(a) of this Act, where the earnings of a beneficiary who is less than five years over pensionable age have exceeded £9.50

for the calendar week ending last before any week for which he is entitled to a retirement pension, the weekly rate of his pension shall for the last-mentioned week be reduced—

- (a) where the excess is less than £2.00, by 5 new pence for each complete 10 new pence of the excess, and
- (b) where the excess is not less than £2.00 by 5 new pence for each complete 10 new pence of the excess up to £2.00 and by 5 new pence for each complete 5 new pence of any further excess:

Provided that this subsection shall not affect the rate of the pension for the first week after the date of the beneficiary's retirement."

(3) In section 31(1) of the Insurance Act (increase of 5 new pence in a person's retirement pension in respect of every nine contributions paid by him after attaining pensionable age) for the words "by 5 new pence" there shall be substituted the words "by 6 new pence", and in paragraphs (a) and (b) of section 34(1) of that Act (retirement pension of the wife or widow of such a person to be increased by $2\frac{1}{2}$ new pence for every nine contributions) for the words " $2\frac{1}{2}$ new pence", in each place where they occur, there shall be substituted the words "3 new pence".

3.—(1) Subject to the following provisions of this section where, in respect of any period of interruption of employment, a person has been entitled to sickness benefit for 168 days, then—

Invalidity
benefit for
chronic sick.

- (a) he shall cease to be entitled to that benefit for any subsequent day of incapacity for work falling within that period; and
- (b) unless he is over pensionable age and has retired from regular employment, he shall be entitled to an invalidity pension for any day of incapacity for work in that period for which, by virtue of paragraph (a) above, he is not entitled to sickness benefit;

and any day in the first three days of a period of interruption of employment which was a day of incapacity for work but for which the person concerned was not entitled to sickness benefit shall be treated for the purposes of this subsection as a day on which he was so entitled.

(2) Subsection (1) above shall not apply in relation to any day of incapacity for work (beginning after the expiry of the 168 days referred to in that subsection) if the person concerned has paid, in respect of the period between his entry into insurance

and that day, less than 156 contributions of the appropriate class, and accordingly, subject to the provisions of the Insurance Act, that person shall continue to be entitled to sickness benefit for that day.

(3) Subject to subsection (4) below, invalidity pension shall be payable at the weekly rate specified in relation thereto in Part I of Schedule 3 to the Insurance Act.

(4) If a person claiming invalidity pension for any day—

(a) is over pensionable age but has not retired from regular employment; and

(b) would on that day be entitled to a retirement pension if he had retired from regular employment on attaining pensionable age and made the necessary claim,

the invalidity pension shall be payable at the weekly rate at which, disregarding any increase by virtue of any provision of the Insurance Act (but having regard to subsection (6) below), the retirement pension would have been payable.

(5) If a person is more than five years below pensionable age on the qualifying date in any period of interruption of employment then, in respect of every day of that period in respect of which he is entitled to an invalidity pension, he shall also be entitled to an invalidity allowance at the weekly rate specified in relation thereto in Part I of Schedule 3 to the Insurance Act; and for the purposes of invalidity allowance, "the qualifying date", in relation to a period of interruption of employment, means the first day in that period (whether before the passing of this Act or later) which is a day of incapacity for work or such earlier day as may be prescribed.

(6) Subject to subsection (7) below, if a person is entitled to invalidity allowance in respect of—

(a) any day falling within the period of 13 weeks ending immediately before the day on which he attains pensionable age, or

(b) the last day before the beginning of that period,

the weekly rate of the retirement pension payable to him shall be increased by an amount equal to the weekly rate of the invalidity allowance to which he was entitled on that day.

(7) Subsection (6) above shall not apply to the retirement pension payable to a woman by virtue of her husband's insurance except in a case where, apart from an election under section 33 of the Insurance Act, she would have been entitled to a retirement pension by virtue of her own insurance.

(8) In a case where section 19(3) of the Insurance Act applies (rate of unemployment and sickness benefit for persons over pensionable age limited to amount of potential retirement pension) an increase in a retirement pension by virtue of subsection (6) above (unlike increases by virtue of other provisions) shall be taken into account for the purpose of determining the weekly rate of sickness benefit.

(9) The amount payable by way of benefit under this section for any day of incapacity for work shall be one-sixth of the appropriate weekly rate.

4. After section 43 of the Insurance Act there shall be inserted the following section—

“ 43A.—(1) Subject to the provisions of this section, the weekly rate of a retirement pension or invalidity pension shall be increased by the amount respectively specified in relation to the benefit in question in column 5 of Part II of Schedule 3 to this Act—

(a) for any period during which the beneficiary is residing with his wife, or

(b) for any period during which the beneficiary is contributing to the maintenance of his wife at a weekly rate of not less than the said amount, and his wife is not engaged in any gainful occupation or occupations from which her weekly earnings exceed that amount.

(2) Subject to subsection (3) below, where the beneficiary is residing with his wife, and the earnings of his wife for the calendar week ending last before any week for which he is entitled to benefit under this section exceeded £9.50, the weekly rate of benefit under this section shall for the last-mentioned week be reduced—

(a) where the excess is less than £2.00, by 5 new pence for each complete 10 new pence of the excess, and

(b) where the excess is not less than £2.00, by 5 new pence for each complete 10 new pence of the excess up to £2.00 and by 5 new pence for each complete 5 new pence of any further excess.

(3) If regulations under section 44(a) of this Act make any alteration, or further alteration, in section 30(7) of this Act (which provides for a reduction in respect of earnings comparable to the reduction under subsection (2) above), those regulations shall make a corresponding alteration, or further alteration, in the reduction to be made under subsection (2) above.

(4) Subject to the following provisions of this section, the weekly rate of a retirement pension or invalidity pension shall be increased by the amount specified as aforesaid for any period during which some female person (not being a child) has the care of a child or children of the beneficiary's family, or of a child or children treated as such for the purposes of section 40 of this Act.

(5) Subsection (4) above shall not apply if the beneficiary—

(a) is a man whose wife is entitled to a retirement pension by virtue of his insurance, or

(b) is a woman entitled to the pension by virtue of her husband's insurance,

or in such other cases as may be prescribed.

(6) Regulations may, in a case within subsection (4) above in which the female person is residing with the beneficiary, and fulfils such further conditions as may be prescribed, authorise an increase of benefit under this section, but subject to a reduction in respect of the female person's earnings, other than such of her earnings from employment by the beneficiary as may be prescribed, comparable to the reduction under subsection (2) above.

(7) Subject to subsection (8) below, the weekly rate of invalidity pension shall be increased by the amount specified as aforesaid—

(a) for any period during which the beneficiary's husband is incapable of self-support and either they are residing together or she is contributing to his maintenance at a weekly rate not less than the amount so specified, or

(b) for any period during which the beneficiary has residing with him and is wholly or mainly maintaining any such relative as may be prescribed, being a relative in relation to whom such further conditions as may be prescribed are fulfilled.

In this subsection the expression "relative" does not include any person who is a child, but includes a person who is a relative by marriage or adoption and a person who would be a relative if some person born illegitimate had been born legitimate.

(8) Where a person is entitled to invalidity pension at a weekly rate determined under section 3(4) of the National Insurance Act 1971—

(a) subsection (7) above shall not apply, and

- (b) if the beneficiary would have been entitled only by virtue of section 45 of this Act to the retirement pension by reference to which the weekly rate of the invalidity pension is determined, the amount of any increase under this section of that weekly rate shall be that which would have been applicable by virtue of the said section 45 in the case of such an increase of the weekly rate of that pension.

(9) A beneficiary shall not be entitled for the same period to an increase of benefit under this section in respect of more than one person.

(10) So far as this section relates to the amount of the increase of a retirement pension, it shall have effect subject to subsection (7) of section 30 of this Act, and any reduction to be made under that subsection shall be made, so far as necessary—

- (a) first against the amount of the benefit set out in Part I of Schedule 3 to this Act plus any increase under section 31 of this Act,
- (b) secondly against the increase under this section (and before any reduction to be made under subsection (2) above),
- (c) lastly against any increase under section 40 of this Act."

5.—(1) A person who is over the age of 80 and satisfies such conditions as may be prescribed shall be entitled by virtue of this section to a retirement pension payable for life at the weekly rate specified in relation thereto in Part I of Schedule 3 to the Insurance Act if—

Retirement pension and age addition for persons over eighty.

- (a) he is not entitled to a retirement pension by virtue of any provision of the Insurance Act or of paragraph (a) or paragraph (b) of section 1(1) of the Act of 1970, or
 - (b) he is entitled to a retirement pension by virtue of some provision of the Insurance Act but the pension is payable at a weekly rate which, disregarding any increase under Part II of Schedule 3 to that Act, is less than that specified in Part I of that Schedule in relation to a retirement pension payable by virtue of the Act of 1970.
- (2) A person who is over the age of eighty and who—
- (a) is entitled to a retirement pension, or

(b) is not so entitled but fulfils such other conditions as may be prescribed,

shall be entitled to a further benefit, known as age addition, payable for life at the weekly rate specified in relation thereto in Part I of Schedule 3 to the Insurance Act.

(3) Notwithstanding anything in section 48 of the Insurance Act (right to benefit conditional on the making of a claim) in such cases as may be prescribed age addition or a retirement pension payable by virtue of this section may be paid without a claim being made for it.

(4) Except for the purposes of section 17 of the Insurance Act (descriptions of benefit) references in Part II of that Act to a retirement pension (but not references to a benefit) do not include a retirement pension payable by virtue of this section.

Calculation of earnings-related supplement and widow's supplementary allowance.
1966 c. 6.

6.—(1) In the application of subsection (4) of section 2 of the National Insurance Act 1966 (calculation of weekly rate of earnings-related supplement) in respect of any day in a period of interruption of a person's employment in relation to which the relevant income tax year (as defined in that section) is the year 1972-73 or a subsequent year, for paragraph (a) of that subsection there shall be substituted the following paragraph—

“(a) an amount equal to the aggregate of—

(i) one-third of the amount, up to £20, by which the claimant's average weekly earnings for the relevant income tax year exceeded £10, and

(ii) 15 per cent. of the amount, up to £12, by which those average weekly earnings exceeded £30; or”.

(2) After subsection (7) of section 2 of the National Insurance Act 1966 (application of earnings-related supplement where injury benefit is payable under the Industrial Injuries Act) there shall be inserted the following subsection:—

“(7A) Where, in the case of a person entitled to earnings-related supplement in respect of any day, a payment by way of unemployment benefit or sickness benefit does not, but a payment by way of injury benefit under section 11 of the Industrial Injuries Act does, fall to be made to that person in respect of that day, paragraph (b) of subsection (4) of this section shall have effect in his case with the substitution—

(a) for the reference to unemployment benefit or sickness benefit of a reference to injury benefit under section 11 of the Industrial Injuries Act, and

- (b) for the reference to section 40(1) or 43(1) or (2) of the Insurance Act of a reference to section 17(1) or 18(1) of the Industrial Injuries Act."

(3) In the application of subsection (1) of section 4 of the National Insurance Act 1966 (widow's supplementary allowance payable as an earnings-related increase of widow's allowance) in a case for which the appropriate income tax year (as defined in that section) is the year 1972-73 or a subsequent year—

(a) in paragraph (b) of that subsection for the words "nine pounds" there shall be substituted "£10", and

(b) for the words from "equal to one-third" to the end of the subsection there shall be substituted the words "equal to the aggregate of one-third of the amount, up to £20, of the excess referred to in paragraph (b) of this subsection and 15 per cent. of the amount, up to £12, by which the earnings referred to in that paragraph exceeded £30".

Industrial injuries and diseases

7.—(1) In the Industrial Injuries Act for the provisions of Part I of Schedule 2 (weekly rates of contributions payable by insured persons and employers) there shall be substituted the provisions set out in Schedule 3 to this Act.

Revision of contributions under Industrial Injuries Act.

(2) There shall be paid out of money provided by Parliament any increase resulting from this section in the contributions so payable under section 2(1)(b) of the Industrial Injuries Act.

8.—(1) In the Industrial Injuries Act for the provisions of Schedule 3 (rate or amount of benefit etc.) there shall be substituted the provisions set out in Schedule 4 to this Act.

Benefits under Industrial Injuries Act.

(2) In section 5 of the Industrial Injuries Act after subsection (1) there shall be inserted—

" (1A) If a person dies at a time when—

(a) he is entitled to an increase under section 15 of this Act (constant attendance allowance) of a disablement pension of an amount not less than that which at that time is specified in head (a) of paragraph 6 of Schedule 3 to this Act, or

(b) he would have been so entitled but for having received medical or other treatment as an in-patient in a hospital or similar institution,

he shall be regarded for the purposes of entitlement to death benefit as having died as a result of the injury in respect of which the disablement pension was payable.

The reference in this subsection to an increase under section 15 of this Act shall not be read as including a reference to any payment which is not by way of an increase of a disablement pension, and in particular does not include a reference to any payment for constant attendance under section 81(2)(b) of this Act."

(3) In section 18 of the Industrial Injuries Act (increase of benefit in respect of adult dependants) after subsection (3) (power by regulations to withdraw increase of benefit where earnings of the wife or husband exceed the prescribed amount) there shall be inserted—

"(3A) Where the beneficiary is entitled to an unemployability supplement (to a disablement pension) and is residing with his wife, and the earnings of his wife for the calendar week ending last before any week for which he is entitled to benefit under this section exceeded £9.50, the weekly rate of benefit under this section shall for the last-mentioned week be reduced—

- (a) where the excess is less than £2.00, by 5 new pence for each complete 10 new pence of the excess, and
- (b) where the excess is not less than £2.00, by 5 new pence for each complete 10 new pence of the excess up to £2.00 and by 5 new pence for each complete 5 new pence of any further excess:

Provided that if regulations under section 44(a) of the Insurance Act make any alteration or further alteration in section 30(7) of that Act, those regulations shall make a corresponding alteration in the reduction to be made under this subsection.

(3B) Regulations under subsection (3) above—

- (a) shall not restrict the amount of benefit in a case within subsection (3A) above,
- (b) may, in a case within subsection (1)(d) above in which the female person is residing with a beneficiary entitled to unemployability supplement, and fulfils such further conditions as may be prescribed, authorise an increase of benefit under this section, but subject to a reduction in respect of the female person's earnings, other than such of her earnings from employment by the beneficiary as may be prescribed, comparable to the reduction in subsection (3A) above,
- (c) may, in connection with any reduction of benefit in respect of earnings, prescribe the method of calculating or estimating the earnings."

(4) In section 19(3) of the Industrial Injuries Act for the words "£1.50" (which is the weekly rate of pension payable to a widow when none of the higher rates in Schedule 3 to that Act applies) there shall be substituted "£1.80".

9. After section 13 of the Industrial Injuries Act there shall be inserted—

Increase of
unemploy-
ability
supplement.

"13A.—(1) If on the qualifying date the beneficiary was—

(a) a man under the age of 60, or

(b) a woman under the age of 55,

the weekly rate of unemployability supplement shall be increased by the appropriate amount specified in paragraph 4A of Schedule 3 to this Act.

(2) In this section 'the qualifying date' means, subject to the provisions of this section, the beginning of the first week for which the beneficiary qualified for unemployability supplement.

(3) If the incapacity for work in respect of which unemployability supplement is payable forms part of a period of interruption of employment which has continued from a date earlier than the date fixed under subsection (2) above, the qualifying date means the first day in that period which is a day of incapacity for work, or such earlier day as may be prescribed.

(4) Subject to subsection (3) above, if there have been two or more periods for which the beneficiary was entitled to unemployability supplement, the qualifying date shall be in relation to unemployability supplement for a day in any one of those periods, the beginning of the first week of that period.

For the purposes of this subsection a break of more than 13 weeks in entitlement to unemployability supplement means that the periods before and after the break are different periods, and a break of 13 weeks or less shall be disregarded.

(5) In this section "period of interruption of employment" has the same meaning as it has for the purposes of unemployment benefit under the Insurance Act."

10.—(1) After section 30 of the Industrial Injuries Act there shall be inserted—

Benefit payable
to or in respect
of in-patients.

"30A. Regulations may provide—

(a) for adjusting benefit payable to or in respect of any person or the conditions for receipt of it where that person is undergoing medical or other treatment as an in-patient in a hospital or similar institution, and

(b) for suspending payment of benefit to a person during any period during which he is undergoing such treatment."

(2) The proviso to section 15(2) of the Industrial Injuries Act (by virtue of which, while a person entitled to a disablement pension is receiving free treatment as an in-patient, no increase of the pension by reference to need for constant attendance may be made) shall cease to have effect.

Benefit
under Old
Cases Act.

11.—(1) In the Old Cases Act for the words "£3.05" there shall be substituted "£3.65"—

(a) in section 2(6)(c) (maximum weekly rate of a lesser incapacity allowance supplementing workmen's compensation), and

(b) in section 7(2)(b) (industrial diseases benefits schemes: weekly rate of an allowance payable where disablement is not total).

(2) In section 7(3)(a) of the Old Cases Act (industrial diseases benefit schemes: unemployability supplement) after the words "Industrial Injuries Act" there shall be inserted "or, as the case may be, sections 13 and 13A of that Act".

(3) In the said section 7 after subsection (3) there shall be inserted—

"(3A) Where under this section an allowance comprises such an increase as is mentioned in subsection (3)(a) above, paragraphs (c) and (d) of that subsection shall have effect with the substitution for references to injury benefit of references to disablement pension plus unemployability supplement."

Miscellaneous and supplemental

Polygamous
marriages.
1965 c. 53.

12.—(1) The Secretary of State may by regulations make provision for any purpose of the Insurance Act, the Industrial Injuries Act or the Family Allowances Act 1965 as to the circumstances in which a marriage celebrated under a law which permits polygamy is to be treated as having the same consequences as a marriage celebrated under a law which does not, and any such regulations may make different provision in relation to different enactments, purposes and circumstances.

(2) The power of the Secretary of State to make regulations under this section shall be exercisable by statutory instrument, and a statutory instrument made in the exercise of that power shall be subject to annulment in pursuance of a resolution of either House of Parliament.

Financial
provisions.

13.—(1) Notwithstanding anything in section 83(1)(b)(i) of the Insurance Act (benefits under that Act payable out of the National Insurance Fund) the benefits specified in subsection (2)

below shall not be paid out of that Fund but shall be defrayed out of money provided by Parliament.

(2) The benefits referred to in subsection (1) above are as follows—

- (a) attendance allowance,
- (b) widow's benefit payable by virtue of section 1 of the Act of 1970,
- (c) retirement pension payable by virtue of section 1 of the Act of 1970 or section 5 of this Act, and
- (d) age addition where the right to the benefit depends solely on entitlement to any such retirement pension as is referred to in paragraph (c) above.

(3) There shall be left out of account for the purposes of section 85(4) of the Insurance Act (reimbursement of certain expenses from the National Insurance Fund) such amount as the Secretary of State may estimate in accordance with any directions of the Treasury to be the amount of the expenses incurred by him or any government department in carrying into effect any provisions of this Act relating to the benefits specified in subsection (2) above.

(4) There shall be paid out of money provided by Parliament any increase attributable to this Act in the expenses of the Secretary of State or any other government department which are payable out of money so provided under any other enactment.

14. Schedule 5 to this Act, which contains minor and consequential amendments of the National Insurance Acts 1965 to 1970, the Industrial Injuries Act, the Old Cases Act and other enactments relating to benefit under those Acts, shall have effect.

15.—(1) In this Act—

Interpretation.

“the Insurance Act” means the National Insurance Act 1965 c. 51. 1965,

“the Industrial Injuries Act” means the National Insurance (Industrial Injuries) Act 1965, 1965 c. 52.

“the Old Cases Act” means the Industrial Injuries and Diseases (Old Cases) Act 1967, 1967 c. 34.

“the Act of 1970” means the National Insurance (Old persons' and widows' pensions and attendance allowance) Act 1970. 1970 c. 51.

(2) Any reference in this Act to any other enactment shall, except so far as the context otherwise requires, be construed as

a reference to that enactment as amended or applied by or under any other enactment, including any enactment contained in this Act.

Short title,
etc.

16.—(1) This Act may be cited as the National Insurance Act 1971, and—

- (a) shall be included among the Acts which may be cited together as the National Insurance Acts 1965 to 1971 ; and
- (b) shall be included among the Acts which may be cited together as the National Insurance (Industrial Injuries) Acts 1965 to 1971 ; and
- (c) may be cited together with the Industrial Injuries and Diseases (Old Cases) Acts 1967 and 1969 as the Industrial Injuries and Diseases (Old Cases) Acts 1967 to 1971.

(2) So far as the provisions of this Act other than section 12 relate to the subject-matter of any of the following enactments, those provisions shall be construed as one with—

- (a) the Insurance Act ;
- (b) the Industrial Injuries Act ; or
- (c) the Old Cases Act.

(3) Schedule 6 to this Act shall have effect with respect to the commencement of this Act and with respect to the transitory matters dealt with in that Schedule ; and, subject to any transitional provisions in Schedule 6, the enactments mentioned in Schedule 7 to this Act are hereby repealed to the extent specified in column 3 of that Schedule.

(4) Without prejudice to subsection (2) above, and without prejudice to the operation by virtue of any provision of that subsection, in relation to matters arising out of this Act, of any provisions relating to Northern Ireland of the Acts referred to in that subsection—

1920 c. 67.

- (a) no limitation on the powers of the Parliament of Northern Ireland imposed by the Government of Ireland Act 1920 shall preclude that Parliament from enacting a provision corresponding to section 12 of this Act ; and
- (b) this Act, other than paragraph (a) above, shall not extend to Northern Ireland.

SCHEDULES

SCHEDULE 1

Section 1.

PROVISIONS TO BE SUBSTITUTED IN SCHEDULE 1 TO
NATIONAL INSURANCE ACT 1965

1965 c. 51.

RATES OF FLAT-RATE CONTRIBUTIONS

PART I

Employed persons

Description of employed person 1	Weekly Rate of Contribution	
	Unless by virtue of a non- participating employment 2	If by virtue of a non- participating employment 3
	£	£
Men between the ages of 18 and 70 (other than men over the age of 65 who have retired from regular employment)—		
Earning remuneration at a weekly rate exceeding £6	0·672	0·792
Earning remuneration at a weekly rate of £6 or less	0·402	0·462
Women between the ages of 18 and 65 (other than women over the age of 60 who have retired from regular employment)—		
Earning remuneration at a weekly rate exceeding £6	0·585	0·665
Earning remuneration at a weekly rate of £6 or less	0·335	0·385
Boys under the age of 18	0·461	—
Girls under the age of 18	0·381	—

For the purposes of this Part and Part II of this Schedule a person shall be deemed to be earning remuneration at a weekly rate of £6 or less if, but only if, his remuneration does not include the provision of board and lodging by the employer and the rate of the remuneration neither exceeds, nor is deemed in accordance with regulations made under section 114(5) of this Act to exceed, £6 a week, and to be earning remuneration at a weekly rate exceeding £6 in any other case.

SCH. 1

PART II

Employers

Description of employed person 1	Weekly Rate of Contribution	
	Unless by virtue of a non- participating employment 2	If by virtue of a non- participating employment 3
	£	£
Men over the age of 18—		
Earning remuneration at a weekly rate exceeding £6 or not being liable to pay a contribution as an employed person	0·744	0·864
Earning remuneration at a weekly rate of £6 or less and being liable to pay a contribution as an employed person	1·014	1·194
Women over the age of 18—		
Earning remuneration at a weekly rate exceeding £6 or not being liable to pay a contribution as an employed person	0·638	0·718
Earning remuneration at a weekly rate of £6 or less and being liable to pay a contribution as an employed person	0·888	0·998
Boys under the age of 18	0·507	—
Girls under the age of 18	0·417	—

For the purposes of this Part of this Schedule a person over pensionable age, not being an insured person, shall be treated as an employed person if he would be an insured person were he under pensionable age and would be an employed person were he an insured person.

PART III

SCH. 1

Self-employed persons

Description of self-employed person	Weekly Rate of Contribution
1	2
	£
Men between the ages of 18 and 70 (other than men over the age of 65 who have retired from regular employment)	1·333
Women between the ages of 18 and 65 (other than women over the age of 60 who have retired from regular employment)	1·117
Boys under the age of 18	0·762
Girls under the age of 18	0·642

PART IV

Non-employed persons

Description of non-employed person	Weekly Rate of Contribution
1	2
	£
Men between the ages of 18 and 65	1·033
Women between the ages of 18 and 60	0·807
Boys under the age of 18	0·592
Girls under the age of 18	0·462

Section 2.

SCHEDULE 2

PROVISIONS TO BE SUBSTITUTED IN SCHEDULE 3
TO NATIONAL INSURANCE ACT 1965

1965 c. 51.

RATES OF PERIODICAL BENEFITS AND OF INCREASES
FOR DEPENDANTS

PART I

WEEKLY RATES OF PERIODICAL BENEFITS

<i>Description of benefit</i>	<i>Weekly rate</i>
1. Unemployment or sickness benefit under section 19(2)	(a) in the case of a person over the age of 18, not being a married woman £6·00 (b) in the case of a person under the age of 18, not being a married woman— (i) during any period during which that person is entitled to an increase of benefit in respect of a child or adult dependant £6·00 (ii) during any other period £3·30 (c) in the case of a married woman over the age of 18— (i) during any period during which she is entitled to an increase of benefit in respect of her husband, or during which she is not residing with her husband nor is he contributing to her maintenance at not less than the relevant rate £6·00 (ii) during any other period £4·20 (d) in the case of a married woman under the age of 18— (i) during any period during which she is entitled to an increase of benefit in respect of her husband or during which she is entitled to an increase of benefit in respect of a child or an adult dependant other than her husband and she is not residing with her husband nor is he contributing to her maintenance at not less than the relevant rate £6·00 (ii) during any other period during which she is entitled to an increase of benefit in respect of a child or adult dependant £4·20 (iii) during any other period £3·30
2. Invalidity pension	£6·00

SCH. 2

Description of benefit	Weekly rate
3. Invalidity allowance ...	(a) if on the qualifying date the beneficiary was under the age of 35, or if that date fell before 5th July 1948 £1·00 (b) if head (a) above does not apply and on the qualifying date the beneficiary was under the age of 45 ... £0·60 (c) if heads (a) and (b) above do not apply, and on the qualifying date the beneficiary was a man under the age of 60, or a woman under the age of 55 £0·30
4. Attendance allowance ...	£4·80
5. Maternity allowance ...	£6·00
6. Widow's allowance ...	£8·40
7. Widowed mother's allowance	£6·00
8. Widow's pension	£6·00
9. Guardian's allowance ...	£2·95
10. Retirement pension payable by virtue of this Act and not by virtue of any enactment directed to be construed as one with this Act	(a) where the pension is payable to a woman by virtue of her husband's insurance and he is alive ... £3·70 (b) in any other case £6·00
11. Retirement pension payable by virtue of paragraph (a) or paragraph (b) of section 1(1) of the Act of 1970	(a) except where head (b) below applies £3·60 (b) where the pension is payable to a married woman who has not, at any time since she first became entitled to the pension, ceased to be a married woman £2·20
12. Retirement pension payable by virtue of section 5 of the National Insurance Act 1971	(a) except where head (b) below applies £3·60 (b) where the pension is payable to a married woman who has not, at any time since she first became entitled to the pension, ceased to be a married woman £2·20

SCH. 2

<i>Description of benefit</i>	<i>Weekly rate</i>
13. Age addition	£0.25
14. Child's special allowance ...	£2.95

In paragraphs 1(c)(i) and 1(d)(i) of this Part of this Schedule "the relevant rate" means a weekly rate equal to the difference under this Schedule between the rates of benefit applying if the husband is, and if he is not, contributing to the wife's maintenance at not less than the relevant rate.

PART II

WEEKLY RATES OF INCREASES FOR DEPENDANTS

<i>Benefit to which increase applies</i>	<i>Increase for only, elder or eldest quali- fying child</i>	<i>Increase for second quali- fying child</i>	<i>Increase for each addi- tional quali- fying child</i>	<i>Increase for adult depend- ant (where payable)</i>
(1)	(2)	(3)	(4)	(5)
	£	£	£	£
1. Unemployment or sickness benefit under subsection (2) or subsection (3) of section 19, except where payable at the rate specified in paragraph 1(b)(ii) or paragraph 1(d)(iii) of Part I above... ..	1.85	0.95	0.85	3.70
2. Invalidity pension	2.95	2.05	1.95	3.70
3. Maternity allowance	1.85	0.95	0.85	3.70
4. Widow's allowance	2.95	2.05	1.95	—
5. Widowed mother's allowance	2.95	2.05	1.95	—
6. Retirement pension payable by virtue of this Act and not by virtue of any enactment directed to be construed as one with this Act	2.95	2.05	1.95	3.70
7. Retirement pension payable by virtue of paragraph (a) or paragraph (b) of section 1(1) of the Act of 1970	2.95	2.05	1.95	2.20
8. Child's special allowance	—	2.05	1.95	—

Where any unemployment or sickness benefit is payable at a weekly rate determined under section 19(3) of this Act, column 5 of this Part of this Schedule shall have effect subject to section 43(3)(b) of this Act, and where an invalidity pension is payable at a weekly rate determined under section 3(4) of the National Insurance Act 1971, the said column 5 shall have effect subject to section 43A(8)(b) of this Act.

SCHEDULE 3

Section 7.

PROVISIONS TO BE SUBSTITUTED IN PART I OF SCHEDULE 2 TO
NATIONAL INSURANCE (INDUSTRIAL INJURIES) ACT 1965

1965 c. 52.

WEEKLY RATES OF CONTRIBUTIONS PAYABLE BY
INSURED PERSONS AND EMPLOYERS

Class of insured person to which rate relates (1)	Weekly rate of contribution	
	By the insured person (2)	By the employer (3)
	£	£
Men over the age of 18	0·05	0·06
Women over the age of 18	0·04	0·05
Boys under the age of 18	0·03	0·03
Girls under the age of 18	0·02	0·03

SCHEDULE 4

Section 8.

PROVISIONS TO BE SUBSTITUTED IN SCHEDULE 3 TO
NATIONAL INSURANCE (INDUSTRIAL INJURIES) ACT 1965

RATE OR AMOUNT OF BENEFIT ETC.

Description of benefit, etc.	Amount
1. Injury benefit under s. 11 (weekly rate).	(a) for any period during which the beneficiary is over the age of 18 or is entitled to an increase of benefit in respect of a child or adult dependant £8·75 (b) for any period during which the beneficiary is not over the age of 18 and not entitled as aforesaid £5·50
2. Maximum disablement gratuity under s. 12(3).	£660
3. Disablement pension under s. 12(5) (weekly rate).	For the several degrees of disablement set out in column 1 of the following Table, the respective amounts in that Table, using— (a) column 2 for any period during which the beneficiary is over the age of 18 years or is entitled to an increase of benefit in respect of a child or adult dependant; (b) column 3 for any period during which the beneficiary is not over the age of 18 and not entitled as afore- said.

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TABLE

Degree of disablement (1)					Amount	
					(2)	(3)
per cent.					£	£
100	...	...	...	...	10·00	6·00
90	...	...	...	...	9·00	5·40
80	...	...	...	...	8·00	4·80
70	...	...	...	...	7·00	4·20
60	...	...	...	...	6·00	3·60
50	...	...	...	...	5·00	3·00
40	...	...	...	...	4·00	2·40
30	...	...	...	...	3·00	1·80
20	...	...	...	...	2·00	1·20

Description of benefit, etc.	Amount
4. Unemployability supplement under s. 13 (increase of weekly rate of disablement pension).	£6·00
4A. Increase under section 13A of unemployability supplement (early onset of incapacity for work).	(a) if on the qualifying date the beneficiary was under the age of 35, or if that date fell before 5th July 1948 £1·00 (b) if head (a) above does not apply and on the qualifying date the beneficiary was under the age of 45 £0·60 (c) if heads (a) and (b) above do not apply, and on the qualifying date the beneficiary was a man under the age of 60, or a woman under the age of 55 £0·30
5. Maximum increase under s. 14 of weekly rate of disablement pension in cases of special hardship.	£4·00 or the amount (if any) by which the weekly rate of the pension, apart from any increase under s. 15, 17 or 18 of this Act or under section 6 of the National Insurance Act 1966, falls short of £10·00, whichever is the less.
6. Maximum increase under s. 15 of weekly rate of disablement pension where constant attendance needed.	(a) except in cases of exceptionally severe disablement ... £4·00 (b) in any case £8·00
6A. Increase under s. 6(1) of National Insurance Act 1966 of disablement pension (exceptionally severe disablement).	£4·00
7. Increase under s. 17 of weekly rate of benefit in respect of children, except where beneficiary is entitled to unemployability supplement.	(a) in respect of only, elder or eldest child of beneficiary's family £1·85 (b) in respect of second child of beneficiary's family £0·95 (c) in respect of each additional child of beneficiary's family ... £0·85

SCH. 4

Description of benefit, etc.	Amount
7A. Increase under s. 17 of weekly rate of disablement pension in respect of children where beneficiary is entitled to unemployability supplement.	(a) in respect of only, elder or eldest child of beneficiary's family £2.95 (b) in respect of second child of beneficiary's family ... £2.05 (c) in respect of each additional child of beneficiary's family ... £1.95
8. Increase under s. 18 of weekly rate of injury benefit or disablement pension in respect of adult dependant.	£3.70
9. Widow's pension under s. 19—	
(a) weekly rate where payable by virtue of s. 19(3)(a)–(e).	£6.55
(b) maximum higher weekly rate for prescribed period after deceased's death.	£8.40
10. Widower's pension under s. 20 (weekly rate).	£6.55
11. Allowance under s. 21 in respect of children of deceased's family—	
(a) weekly rate of allowance under s. 21(1).	(i) in respect of only, elder or eldest qualifying child ... £1.85 (ii) in respect of second qualifying child ... £0.95 (iii) in respect of each additional child ... £0.85
(b) increase under s. 21(2)	£1.10
12. Maximum under s. 29(1)(a) of aggregate of weekly benefit payable for successive accidents.	(a) for any period during which the beneficiary is over the age of 18 or is entitled to an increase of benefit in respect of a child or adult dependant £10.00 (b) for any period during which the beneficiary is not over the age of 18 and not entitled as aforesaid £6.00

SCHEDULE 5

Section 14.

MINOR AND CONSEQUENTIAL AMENDMENTS

Law Reform (Personal Injuries) Act 1948

1948 c. 41.

1. In section 2(1) of the Law Reform (Personal Injuries) Act 1948 after the word "sickness" there shall be inserted the words "or invalidity".

Insurance Act

2.—(1) In section 17 of the Insurance Act, after paragraph (b) there shall be inserted the following paragraphs—

"(bb) invalidity benefit, consisting of—

(i) invalidity pension;

(ii) invalidity allowance;

(bbb) attendance allowance".

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(2) After paragraph (f) of that section there shall be inserted the following paragraph—

“(ff) age addition”.

3. In the Insurance Act—

(a) the words “or invalidity benefit” shall be inserted after the words “sickness benefit”, in each place where they occur, in sections 20(1), 22(3), 22(4), 54(1) and 67(1)(b) and in paragraph 11(1) of Schedule 11;

(b) the words “and invalidity benefit” shall be inserted after the words “sickness benefit”, in each place where they occur, in sections 18(1), 20(2), 52(2)(a) and 102(3)(c);

(c) the words “an invalidity pension” shall be inserted after the words “sickness benefit” in each place where they occur in sections 40(1), 41(3) and 43(7).

4.—(1) In the following provisions of the Insurance Act, for the words “column 2” there shall be substituted the words “Part I” :—
sections 19(2), 24(1), 26(1), 27(1), 28(1), 29(1), 30(1), 32(1) and 38.

(2) In section 40 of the Insurance Act, in subsection (1) for the words “column 3, 4 or 5” there shall be substituted the words “column 2, 3 or 4 of Part II”, in subsection (3) for the words “column 3, 4 or 5” there shall be substituted the words “column 2, 3 or 4”, and in subsection (4) for the words “column 4 or 5” there shall be substituted the words “column 3 or 4”.

(3) In section 43(1) of the Insurance Act for the words “column 6” there shall be substituted the words “column 5 of Part II”.

5.—(1) In section 43(2) of the Insurance Act (increase of unemployment or sickness benefit in certain circumstances) for paragraph (a) (which relates to a period during which the beneficiary is wholly or mainly maintaining her husband and he is incapable of self-support) there shall be substituted the following paragraph—

“(a) for any period during which the beneficiary’s husband is incapable of self-support and either they are residing together or she is contributing to his maintenance at a weekly rate of not less than the amount so specified; or”.

(2) In section 55(3) of the Insurance Act (provisions as to maintenance) for the words “or 43(1)(a)(ii)” there shall be substituted the words “43(1)(a)(ii) or 43A(1)(b)”.

Industrial Injuries Act

6.—(1) In section 17(1) of the Industrial Injuries Act (increase of benefit in respect of children) after “7” there shall be inserted “and 7A”.

(2) In section 29(2) of the Industrial Injuries Act (adjustments for successive accidents) for the words “under the age of seventeen” there shall be substituted the words “under the age of eighteen”.

7. In section 18 of the Industrial Injuries Act for subsection (1)(b) there shall be substituted—

“(b) the beneficiary’s husband is incapable of self-support, and either they are residing together or she is contributing to his maintenance at a weekly rate of not less than the amount of the said increase, or”.

National Insurance Act 1966

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8.—(1) In section 6(1)(a) of the National Insurance Act 1966 (increase of disablement pension in cases of exceptionally severe disablement) for the words from “or but” to “would be” there shall be substituted the words “or, but for having received medical or other treatment as an in-patient in a hospital or similar institution, would be”.

(2) In the said section 6(1) for the words “by three pounds” there shall be substituted the words “by the amount set out in paragraph 6A of Schedule 3 to the Industrial Injuries Act”.

National Insurance Act 1969

1969 c. 44.

9. In paragraph 5(2) of Schedule 6 to the National Insurance Act 1969 (general transitional provisions) after paragraph (a) there shall be inserted—

“(aa) section 43A(1)(b) of that Act, and any regulations made by virtue of subsection (5) of the said section 43A; and”

Ministry of Social Security Act 1966

1966 c. 20.

10.—(1) In section 16(1) of the Ministry of Social Security Act 1966 in paragraph (a) after the word “sickness” there shall be inserted the word “invalidity” and after the word “allowance”, in the last place where it occurs, there shall be inserted the words “age addition” and in each of paragraphs (a) and (b) of that section for the words “and 1966” there shall be substituted the words “to 1971”.

(2) In paragraph 24 of Schedule 2 to the said Act of 1966, in subparagraph (2)(a) for the words “column 3 or 4” there shall be substituted the words “column 2 or 3 of Part II”; in subparagraph (2)(b) of that paragraph for the words “column 2” there shall be substituted the words “Part I” and for the words “column 4” there shall be substituted the words “column 3 of Part II”; and in subparagraph (3)(a) for the words “column 5” there shall be substituted the words “column 4 of Part II”.

Old Cases Act

11. In section 14 of the Old Cases Act, in subsection (1), in the definition of “prescribed”, the reference to section 58 of the Industrial Injuries Act shall be taken to be and always to have been a reference to section 56 of that Act; and the reference to the said section 58 in subsection (3) of the said section 14 shall be construed accordingly.

Act of 1970

12.—(1) In section 1 of the Act of 1970, in subsection (1), in each of paragraphs (a) and (b), for the words from “such weekly rate” to “prescribed” there shall be substituted the words “the weekly rate specified in relation thereto in Part I of Schedule 3 to the principal Act”; and subsection (2)(b) of that section shall be omitted.

(2) In section 4(2) of that Act for the words “of £4” there shall be substituted the words “specified in relation thereto in Part I of Schedule 3 to the principal Act”.

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Payment of benefit to third party

13.—(1) Regulations under the Insurance Act or the Industrial Injuries Act may make provision as to the circumstances in which any benefit under the Act concerned which is payable to one person may be paid to another on his behalf.

(2) A scheme under section 5 of the Old Cases Act (which relates to benefit in respect of pre-1948 employment) may make provision as to the circumstances in which any benefit payable to a person in pursuance of the scheme may be paid to another person on his behalf.

Section 16.

SCHEDULE 6

COMMENCEMENT AND TRANSITORY PROVISIONS

Commencement of this Act

1.—(1) The provisions of this Act shall not come into force until such date or dates as the Secretary of State may by order appoint for those provisions or any of them.

(2) Different days may be appointed under this paragraph for different purposes of the relevant provisions (that is to say, the provisions to which sub-paragraph (1) above applies) or for the same purposes in relation to different cases or classes of case; and if that is done, or if different days are appointed for different provisions, then—

(a) an order under this paragraph may contain such incidental or supplemental provisions as appear to the Secretary of State to be necessary or expedient as respects the period or any part of the period when the relevant provisions are to have a partial operation only, and, in particular, may contain provisions modifying and supplementing, in relation to the period to which the order is to apply, the relevant provisions or the provisions of any Act amended by this Act; and

(b) any provision made in pursuance of paragraph (a) above may be varied or revoked by a subsequent order of the Secretary of State.

(3) Section 107(4) of the Insurance Act (which provides for orders under that Act to be subject to annulment in pursuance of a resolution of either House of Parliament) shall not apply to any order under this paragraph, but a statutory instrument containing any such order shall be laid before Parliament after being made.

Regulations and schemes: temporary exclusion of certain requirements

2.—(1) Section 108 of the Insurance Act (which requires a preliminary draft of regulations to be submitted to the National Insurance Advisory Committee before the regulations are made or, in certain cases, before a draft is laid before Parliament) and section 62(2) of the Industrial Injuries Act (which requires a proposal to make regulations to be referred to the Industrial Injuries Advisory Council for consideration and advice) shall not apply to regulations made, or to a draft

of regulations laid, before the expiration of six months beginning with the date of the passing of this Act if the instrument containing the regulations or, as the case may be, the draft states that the regulations contain no provisions other than such as—

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(a) are made in consequence of this Act; or

(b) operate with reference to the amount of a person's earnings, and are made under one or more of the following provisions (which relate to the classification of insured persons or the liability to contributions, and to benefit by way of earnings-related supplement), that is to say—

(i) sections 1(3) and 8(5) of the Insurance Act, and

(ii) section 3(3)(b) of the Industrial Injuries Act, and

(iii) section 2 of the National Insurance Act 1966, 1966 c. 6.

or made for the purpose of any of those provisions under section 114(5) of the Insurance Act; or

(c) operate with reference to the appropriate income tax year for the purposes of section 4 of the National Insurance Act 1966 (earnings-related and other widow's benefit under the Insurance Act).

(2) The following enactments, that is to say—

(a) section 107(1) of the Insurance Act,

(b) section 85(4) of the Industrial Injuries Act,

(c) section 4(8)(a) of the Old Cases Act,

(d) section 1(7) of the Police Pensions Act 1948; 1948 c. 24.

shall not require a draft of any regulations order or scheme to be laid before Parliament or approved by resolution of either House before the making of the regulations order or scheme, if the regulations order or scheme are or is made before the expiration of six months beginning with the date of the passing of this Act, and if the instrument containing the regulations order or scheme states that they or it are or is made in consequence of this Act; but where any of those enactments would otherwise so require, the instrument containing the regulations order or scheme shall instead be subject to annulment in pursuance of a resolution of either House of Parliament.

3.—(1) An order of the Secretary of State under section 26 of the Fire Services Act 1947 varying a scheme for the time being in force under that section and made before the expiration of six months beginning with the date of the passing of this Act may include provisions relating to pensions payable to persons who have been members of a fire brigade but have ceased to be so before the date when the order comes into operation, if the order states that those provisions are made in consequence of section 3 of this Act or section 13A of the Industrial Injuries Act. 1947 c. 41.

(2) Notwithstanding anything in section 3 of the Police Pensions Act 1948, regulations made under section 1 of that Act before the expiration of six months beginning with the date of the passing of this Act may include provisions relating to pensions payable to persons who have been members of a police force but have ceased to be so

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before the date when the regulations come into operation, if the regulations state that those provisions are made in consequence of section 3 of this Act or section 13A of the Industrial Injuries Act.

*Transitory provisions**Section 2(3)*

4. Section 2(3) of this Act shall not affect the operation of section 31(1) or paragraphs (a) and (b) of section 34(1) of the Insurance Act with respect to contributions paid for contribution weeks beginning before the date on which the said section 2(3) comes into force; but regulations may make transitional provision for cases where the relevant contributions so paid do not make up nine or a multiple of nine contributions.

Section 6(2)

5. Where a person who is entitled to injury benefit under section 11 of the Industrial Injuries Act in respect of any day after the coming into force of section 6(2) of this Act has as a result of the relevant injury been continuously incapable of work for a period which includes that day and which began before the coming into force of section 6(2) of this Act, the said section 6(2) shall not apply in his case in respect of that day.

Section 8(2)

6. The amendment by this Act of section 5 of the Industrial Injuries Act shall not affect death benefit where the death occurred before the coming into force of section 8(2) of this Act.

Section 9

7.—(1) Section 13A of the Industrial Injuries Act shall not apply to a beneficiary if on the date that section 9 of this Act comes into force the beneficiary—

(a) is a man who is over the age of 65, or

(b) is a woman who is over the age of 60.

(2) The cases to which the said section 13A applies shall include cases where the qualifying date fell before the coming into force of section 9 of this Act.

SCHEDULE 7

Section 16.

REPEALS

Chapter	Short Title	Extent of Repeal
1965 c. 51.	The National Insurance Act 1965.	In section 43, in subsection (1) the words "or a retirement pension", and subsections (4) and (5). Section 113(1).
1965 c. 52.	The National Insurance (Industrial Injuries) Act 1965.	In section 15(2) the proviso. Section 86(5).
1965 c. 53.	The Family Allowances Act 1965.	Section 17(9).
1967 c. 73.	The National Insurance Act 1967.	Section 1(1)(d).
1969 c. 44.	The National Insurance Act 1969.	In section 1, subsections (1) and (4). Section 2(1). In section 3, subsection (1), and in subsection (2) the words from the beginning down to, but not including, the words "section 44". Sections 5 and 6. In section 10 subsections (1) and (2). Schedules 1 and 2. Schedules 4 and 5.
1970 c. 51.	The National Insurance (Old persons' and widows' pensions and attendance allowance) Act 1970.	Section 1(2)(b). Section 7(1). In Schedule 2 paragraph 11.